

M/S Star Agro v. Madhyanchal Vidyut Vitran Nigam Limited And 3 Others

Allahabad High Court · Division Bench · 4 August 2025 · 2025:AHC:133298-DB · Writ - C No. 2385 of 2021 · **Writ consigned to record; s.126/Clause 6.8 assessment not decided; liberty to seek recall**

HEADNOTE

Where an industrial consumer challenges a provisional assessment dated 09.09.2020 as non-compliant with Section 126 of the Electricity Act, 2003 read with Clause 6.8 of the U.P. Electricity Supply Code, 2005, alleging that the provisional assessment was treated as final without a hearing, and seeks restoration of a connection disconnected on 06.09.2020, the Court on 3.2.2021 recorded that the matter required consideration, called for a counter, and directed restoration on deposit of Rs 5,00,000. After the writ appeared years later on the warning list of oldest pending cases and none appeared for the petitioner even on a revised call, the Division Bench on 4.8.2025 held that no cause of action survives, consigned the matter to record, and disposed of the writ, with liberty to apply for recall, variation or modification if the petitioner considers that the cause of action still survives. Section 126, Clause 6.8, the assessment, and the alleged meter tampering were not decided.

FACTUAL SUMMARY

M/S Star Agro, holding Account No. 7803579548 and Service connection No. MV 176965, petitioned against Madhyanchal Vidyut Vitran Nigam Limited and others to quash a provisional assessment order dated 9 September 2020, to have the inspection and assessment declared illegal, void and time-barred, to restore the connection disconnected since 6 September 2020, and for compensation of Rs 1 lakh per month. Counsel submitted that Section 126 of the Electricity Act, 2003 read with Clause 6.8 of the Electricity Supply Code, 2005 had not been complied with while checking the premises, and that the provisional assessment had been treated as final without an opportunity of hearing; a representation remained pending.

The Power Corporation submitted that on checking, the petitioner was found using electricity by tampering the meter for industrial purposes, that recovery had been initiated, and that Rs 40,26,475.03 was due. On 3 February 2021 the Court directed a counter affidavit and restoration of supply on deposit of Rs 5,00,000 within one month.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.8

Long-pending challenge to a provisional s.126/Clause 6.8 assessment consigned to record; interim restoration on deposit; merits not decided

QUESTION

Where a consumer challenges a provisional assessment as non-compliant with Section 126 read with Clause 6.8, and later none appears on the oldest-pending warning list, is the assessment decided?

HOLDING

Not decided on merits. On 3.2.2021 the Court recorded the challenge that Section 126 read with Clause 6.8 had not been followed and that the provisional assessment dated 09.09.2020 had been treated as final without a hearing, held that the matter required consideration, called for a counter, and directed restoration of the connection disconnected since 06.09.2020 on deposit of Rs 5,00,000 within one month. On 4.8.2025, none appearing for the petitioner even on a revised call from the warning list of oldest pending cases, the Division Bench held that no cause of action survives, consigned the matter to record, and disposed of the writ, with liberty to seek recall, variation or modification if the petitioner considers that the cause of action still survives. Clause 6.8 and Section 126 were not construed. ¶ order of 3.2.2021, 4-6

QUALIFIER

Thin procedural disposal. The 3.2.2021 sheet is interlocutory; the 4.8.2025 bench did not decide the assessment or the alleged meter tampering.

FLAG Source PDF concatenates three unnumbered/numbered sheets treated as 28.1.2021 (three days for instructions on computation of the provisional assessment; Naheed Ara Moonis, J. and Dinesh Pathak, J.), 3.2.2021 (admission, counter, restoration on Rs 5 lakh deposit; same bench), and 4.8.2025 paras 1–6 (Neutral Citation 2025:AHC:133298-DB; Shekhar B. Saraf, J. and Prashant Kumar, J.). Coram is the disposing bench. Petitioner named only 'Section 126 read with Clause 6.8'; licensee alleged meter tampering for industrial purposes. Catalog hits on Clause 4.8, 6.8 sub-clauses, s.126(3)/(5), CGRF, civil-court bar, consumer forum, change of site, and 126-vs-135 are false positives — none were construed.

PRINCIPLE TAGS

6.8-procedure-mandatory The petitioner contended that Clause 6.8 of the 2005 Code, read with Section 126, was not followed while checking the premises and that the provisional assessment dated 09.09.2020 had been treated as final without a hearing. The Court recorded the contention and later consigned the writ without deciding that procedure. ¶ order of 3.2.2021, 4-6

deposit-for-interim-restoration-abides-by-fresh-section-126-assessment On 3.2.2021 the Court directed restoration of Account No. 7803579548 / Service connection No. MV 176965 on deposit of Rs 5,00,000 within one month, the connection having been disconnected since 06.09.2020. The deposit was not stated to abide a fresh Section 126 assessment, and the 4.8.2025 disposal did not revisit the interim. ¶ order of 3.2.2021

procedural-listing-no-construction After appearing on the warning list of oldest pending cases, with none appearing for the petitioner even on a revised call, the writ was consigned to record and disposed of for want of a surviving cause of action, with liberty to seek recall. Section 126 and Clause 6.8 remain unadjudicated. ¶ 4-6

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE INSPECTION AND PROVISIONAL ASSESSMENT DATED 09.09.2020 COMPLIED WITH SECTION 126 OF THE ELECTRICITY ACT, 2003 READ WITH CLAUSE 6.8 OF THE U.P. ELECTRICITY SUPPLY CODE, 2005, AND WHETHER THE PROVISIONAL ASSESSMENT WAS TREATED AS FINAL WITHOUT A HEARING

The principal challenge recorded on 3.2.2021; a representation was said to be pending. Not decided when the writ was consigned to record. ¶ order of 3.2.2021, 4-6

NOT DECIDED — WHETHER THE INSPECTION AND ASSESSMENT WERE TIME-BARRED, AND WHETHER THE DEMAND OF RS 40,26,475.03 WAS DUE

Prayers included a declaration that the proceedings were time-barred; the licensee asserted that sum as due on meter tampering. Neither point was decided. ¶ order of 3.2.2021

NOT DECIDED — WHETHER THE CASE IS UNAUTHORISED USE UNDER CLAUSE 6.8 OR THEFT BY METER TAMPERING, AND WHETHER RESTORATION AND MONTHLY COMPENSATION OF RS 1 LAKH WERE DUE AS FINAL RELIEF

The petitioner invoked Clause 6.8; the licensee alleged tampering for industrial purposes. Only an interim restoration on deposit was directed; the 4.8.2025 order did not grant or refuse those prayers. ¶ order of 3.2.2021, 4-6